

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD,

RESPONDENT.

RESPONSE TO MOTION TO COMPEL

Table Of Contents

	Page
INTRODUCTION.....	1
RELEVANT FACTS AND PROCEDURE	2
ARGUMENT	5
CONCLUSION	9

TABLE OF AUTHORITIES

Page(s)

Cases

<i>Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd.</i> , Dkt. No. 23-01, 2024 WL 5080575 (ALJ Dec. 6, 2024)	10
<i>Caudle v. District of Columbia</i> , Case No. 08-0205, 263 F.R.D. 29 (D.D.C. Dec. 29, 2009)	6
<i>George v. Allen Martin Ventures, LLC, et al.</i> , Case No. 21-2876, 2023 WL 2705776 (D.D.C. Mar. 30, 2023)	6, 7

Other Authorities

46 C.F.R. § 502.6	10
46 C.F.R. § 502.71	1
46 C.F.R. § 502.145	10
46 C.F.R. § 502.145(b)(4)	6
46 C.F.R. § 502.150	10

Complainant Samsung Electronics America, Inc. (“SEA”), by and through its undersigned counsel, pursuant to 46 C.F.R. § 502.71, respectfully submits this Response to the Motion to Compel (Dkt. 57; the “Motion”) filed by Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”).

INTRODUCTION

The parties filed a joint motion to enlarge the time to undertake discovery obligations in light of the mutual interest to explore settlement, with the able assistance of CADRS. Based on the representations of good faith efforts to explore settlement, or narrow the issues between them, the Presiding Officer granted the parties’ request. *See* Dkt. 54 (the “July 8 Order”). On the evening of Friday, July 18, 2025, after a full day of negotiations at the offices of CADRS in Washington, D.C., COSCO hurriedly issued responses to SEA’s document requests and interrogatories. It was so rushed that the hasty final product did not include the client verification page required for all interrogatory responses. SEA can only surmise COSCO was looking to send a message regarding its resolve in this litigation before negotiations between the party representatives resumed in person the following Monday, July 21, 2025.

Whatever COSCO’s motivation, it was not pursuant to the discovery deadlines, which had been extended. SEA explained this point in the communications the following week when COSCO demanded responses while the parties were still negotiating. Regrettably, counsel for COSCO did not include the full communication exchange between the parties on this issue in its Motion and SEA corrects the record with this response.

More importantly, as negotiations between the parties have ended without resolution, in an effort to resolve this dispute, SEA served COSCO with SEA’s responses to COSCO’s document requests and interrogatories.

In regard to the Motion, or what remains of it, COSCO has not sufficiently shown that it will suffer any prejudice as a result of not receiving the responses on the date it sought them. Conversely, granting the portion of the Motion which looks to strike any and all objections would impose an excessively harsh result on SEA at this stage in the case. It is also a bizarre request following the joint motion to enlarge time and pause discovery while good faith negotiations were explored. COSCO's motion should be denied in full.

RELEVANT FACTS AND PROCEDURE

On June 18, 2025, the parties propounded written discovery to one another in line with the Presiding Officer's Scheduling Order in effect at that time. *See* Order Granting Joint Motion to Modify Schedule, Dkt. 41; *see also*, Motion, p. 1. The following week, the parties filed a Third Joint Motion for Enlargement of Time on June 26, 2025. Third Joint Motion for Enlargement of Time, Dkt. 50 (the "Third Joint Motion").

The purpose of the parties' Third Joint Motion was to obtain a brief, one-month extension of discovery deadlines to allow for meaningful participation in a mediation held by CADRS. Third Joint Motion, p. 1. The Third Joint Motion explained that good cause existed for the extension because "absent an enlargement of time, the current schedule, *including the due date for completing document productions and beginning fact depositions, will likely impair mediation and may result in the parties expending unnecessary time and resources on extensive fact discovery.*" *Id.* at p. 2 (emphasis added). The Third Joint Motion requested an August 14, 2025, deadline for the completion of the production of documents and initiation of fact depositions. *Id.* at p. 3. In an order dated July 8, 2025, the Presiding Officer found the parties' request "reasonable" and adopted the proposed August 14, 2025, deadline for completion of document production and initiation of fact depositions. July 8 Order, p. 1.

A full-day mediation, beginning at 9:00 a.m. and ending at approximately 5:30 p.m., was held on July 18, 2025, with CADRS at FMC Headquarters. Even though the parties had agreed, and represented to the Presiding Officer, that client representatives with settlement authority would attend the mediation in-person, COSCO did not have its client representative in person. SEA was only notified of this fact by an email from CADRS indicating the individuals who would attend the mediation. SEA expressed grave concern about the viability of mediation but agreed to proceed after protracted discussions and COSCO belatedly making a representation that its party representative had a personal matter of serious concern which prevented him attending in person.

On the evening of July 18, 2025, COSCO sent SEA its responses to SEA's first set of interrogatories and requests for production of documents. COSCO did so despite the party representatives for SEA and COSCO agreeing hours earlier to continue settlement discussions the following Monday, July 21, and the Presiding Officer's extension of discovery deadlines. In addition to the curious timing of COSCO's discovery responses, COSCO's interrogatory responses failed to include the required client verification. The required verification was not submitted until July 24, 2025, and only after the deficiency was noted by SEA's counsel in response to COSCO's threats to file the instant Motion. *Compare Exhibit 1* at 1 (July 22, 2025 12:07 p.m. email from C. Nolan to R. Fenneman), *with Exhibit 2* at 1 (July 24, 2025 4:18 p.m. email from M. Medina to C. Nolan *et al*).

The following week, COSCO prematurely demanded SEA's responses and a colloquy between counsel followed. *See Exhibit 1* at 1-4 (email exchanges between counsel regarding the instant discovery dispute).¹ In particular, on July 21, 2025, COSCO emailed SEA stating that more

¹ **Exhibit 1** represents the entirety of the email communications between counsel regarding the instant discovery dispute. SEA notes that Exhibit A to COSCO's Motion to Compel (Dkt. 57) does not include the July 22, 2025 email from SEA to COSCO, which fully explains SEA's

than 30 days had passed since COSCO propounded its discovery requests and declared that, “[a]s a result, SEA has waived any objections to those requests.” **Exhibit 1** at 3 (July 21, 2025 4:55 p.m. email from R. Fenneman to C. Nolan *et al*). Later that day, SEA responded to COSCO’s email, advising that the Presiding Officer’s July 8 Order extended the deadline for discovery responses to allow for settlement discussions and stating SEA’s intention to nonetheless comply with the amended Scheduling Order. *Id.* at 2-3 (July 21, 2025 11:51 p.m. email from C. Nolan to R. Fenneman). On July 22, 2025, COSCO informed SEA of its contrary interpretation of the July 8 Order and its intention to file a Motion to Compel. *Id.* at 2 (July 22, 2025 11:13 a.m. email from R. Fenneman to C. Nolan *et al*). SEA’s response to that email, which was omitted from COSCO’s Motion, further explained SEA’s reasoned position on the effect of the July 8 Order and specifically highlighted the likelihood of jeopardizing the ongoing settlement negotiations between the parties by superfluous litigation. *Id.* at 1 (July 22, 2025 12:07 p.m. email from C. Nolan to R. Fenneman).

SEA again emphasized its intention to abide by the amended discovery deadline if settlement was not reached shortly. *Id.* To that end, SEA stated that it would not be reviewing the link to documents produced until settlement discussions had been exhausted in order to avoid unnecessary litigation expenses. *Id.* Finally, in light of the status of settlement negotiations and its intention to fully comply with its discovery obligations, SEA implored COSCO to reconsider pursuing a motion to compel. *Id.* COSCO, nonetheless, filed its Motion on July 29, 2025.

intention to comply with its discovery obligations under the Presiding Officer’s Scheduling Order and good cause for not responding to COSCO’s discovery early – *i.e.*, to allow time for settlement negotiations to proceed uninhibited by the unnecessary and costly distraction of preparing discovery.

SEA's settlement negotiations with COSCO, through direct party representative discussions, continued through July 30, 2025. Thus, SEA was still pursuing good faith negotiations in accordance with the representations in the Third Joint Motion even after the Motion was filed. On August 5, 2025, prior to the filing of this Response and less than one week after settlement negotiations ceased, SEA provided its discovery responses to COSCO.

ARGUMENT

COSCO's Motion should be denied because it lacks merit in fact and law. The issue before the Presiding Officer is whether SEA violated the July 8 Order, which extended discovery obligations by one month while the parties were supposed to be undertaking good-faith settlement negotiations. It has not. Moreover, COSCO's allegation that SEA is obstructing the discovery process is unfounded. the sanctions requested by COSCO – a finding that SEA has waived any objections to COSCO's discovery – should be denied.

Courts enjoy “wide discretion in managing the discovery process.” *George v. Allen Martin Ventures, LLC, et al.*, Case No. 21-2876, 2023 WL 2705776, at *4 (D.D.C. Mar. 30, 2023) (quoting *3E Mobile, LLC v. Glob. Cellular, Inc.*, 222 F. Supp. 3d 50, 53 (D.D.C. 2016)). In instances where a party's discovery responses are late, “courts have broad discretion to permit parties to file a response out of time when such filing will facilitate a proper presentation of the merits and when the untimely response will not prejudice the requesting party in maintaining the action.” *Id.* at *5. “The central requirement of a Rule 37 sanction is that it be just.” *Id.* at *4 (quoting *Arias v. Dyncorp Aero. Operations, LLC*, 677 F. Supp. 2d 330, 332 (D.D.C. 2010)). It is, therefore, incumbent upon the court to “strike a balance between diligence in litigation and the interests of justice.” *Id.* at *5 (quoting *United States v. \$30,354*, 863 F. Supp. 442, 445 (W.D. Ky. 1994)). In striking this balance, a court may reject a request for waiver of objections and excuse a

failure to timely respond to discovery if it finds there was good cause for the delay or that the opposing party will not be prejudiced and the delinquent party has no pattern of misconduct. 46 C.F.R. § 502.145(b)(4); *Caudle v. District of Columbia*, 263 F.R.D. 29, 33 (D.D.C. 2009). There are six factors a court should consider when evaluating whether good cause exist to deny the waiver of discovery objections: (1) the length of the delay; (2) the reason for the delay; (3) whether there was any dilatory or bad faith action on the party that failed to timely object; (4) whether the party seeking discovery has been prejudiced; (5) whether the discovery requests were properly framed and not excessively burdensome; and (6) whether waiver would impose an excessively harsh result on the defaulting party. *Id.* (citing *Hall v. Sullivan*, 231 F.R.D. 468, 474 (D. Md. 2005)).

The facts underpinning the Motion *sub judice* support the denial of COSCO's Motion. The parties jointly moved the Presiding Officer for an extension of discovery deadlines to focus all efforts on productive settlement talks. COSCO ignores the language it included in the Third Joint Motion, executed by both sets of its lawyers, which sought the extension and cessation of discovery work so that the parties did not “*expend[] unnecessary time and resources on extensive fact discovery.*” *Id.* at p. 2 (emphasis added). What would constitute extensive fact discovery? In an initial matter, the response to COSCO's 25 interrogatories (and subsections) and 21 requests for documents (and subsections).

Following the Presiding Officer's July 8 Order, SEA pivoted its efforts away from costly and unnecessary litigation to concentrate on the submission of a mediation statement and presentation of information to assist SEA in weighing its settlement position. SEA's appreciation of the Third Joint Motion's request for additional time was for that exact purpose. COSCO's understanding was apparently different, however, as it continued to work on written discovery responses only to hastily provide deficient responses a few hours after the in-person mediation

session concluded on the evening of July 18, 2025. *See Exhibit 2* at 1-2 (July 18, 2025 7:00 p.m. email from M. Medina to C. Nolan *et al*). This conduct, in addition to COSCO's decision to not have any client representative attend mediation in person, raises serious questions about whether it ever intended to make good faith settlement efforts. COSCO's actions are cause for additional concern insofar as its refusal to meaningfully confer about this discovery dispute and aggressively pursue the instant Motion are indicative of pure gamesmanship. With COSCO's unclean hands, the Motion should be denied in full for this reason alone.

In the event the Motion is considered, with the disagreement of the parties as to the impact of the July 8 Order, and SEA having already served its responses to COSCO's discovery requests, the only issue remaining is COSCO's demand that SEA's objections be automatically waived. If the Presiding Officer provides the benefit of the doubt to COSCO's interpretation of the July 8 Order, it should not result in the waiver of SEA's objections when considering the six-factor test, *supra*:

(1) The length of the delay: At most seventeen days is minimal, and the responses were received before the final production of documents deadline, let alone the commencement of depositions.

(2) The reason for the delay: A good faith disagreement as to the deadlines, when accounting for the Joint Third Motion and the parties' on-going settlement negotiations. The email exchanges between counsel confirm SEA had every intention of submitting responses and the issue was a disagreement as to the date said responses were due.

(3) Whether there was any dilatory or bad faith action on the party that failed to timely object: The emails between counsel militate against any possible showing of bad faith as

SEA explained its basis for the responses not being due on July 18, the very day of the CADRS mediation between the parties.

(4) Whether the party seeking discovery has been prejudiced: COSCO's claim of prejudice rings hollow. The emails in Exhibit 1 show that SEA assured COSCO it would not review its document production unless settlement efforts had ended without resolution. *See Exhibit 1* at 1 (July 22, 2025 12:07 p.m. email from C. Nolan to R. Fenneman). As a result, COSCO has not been placed at any disadvantage. The parties are still at the nascent stages of discovery and no depositions have even been noticed.

(5) Whether the discovery requests were properly framed and not excessively burdensome: In the Motion, COSCO included its First Set of Interrogatories and Requests for Production of Documents at Exhibit B. Without evaluating each and every one in detail, the Presiding Officer can take notice that there are 46 requests in total with many subparts. SEA has made objections to COSCO requests on various grounds, including burden and form. Specifically, SEA highlights the burdensome nature of Interrogatories 12, 14, 15, 17, 18, 19, 20, and 21; and Request for Production numbers 3, 5, 6, 7, 11, 14, 18, and 20. COSCO should evaluate the objections before the Presiding Officer is called upon to referee the scope of requests and objections.

(6) Whether waiver would impose an excessively harsh result on the defaulting party: This dispute concerns alleged violations of the Shipping Act with continued industry implications. To waive objections to all forty-six of COSCO's requests would be excessively harsh on the Complainant seeking relief in connection with millions of dollars in demurrage and detention charges it was forced to pay on COSCO moves of SEA cargo. Especially at the infancy of the

discovery process, following a joint motion for the extension of time to address discovery obligations while settlement was explored.

Finally, SEA must also raise the implications if COSCO's argument is taken to its natural conclusion. COSCO failed to meet the purported July 18, 2025, discovery deadline it claims SEA violated. As mentioned above, COSCO submitted its discovery responses to SEA on the evening of July 18, 2025, after the CADRS mediation. *See Exhibit 2* at 1-2 (July 18, 2025 7:00 p.m. email from M. Medina to C. Nolan *et al*). The responses did not include the interrogatory client verification required by 46 C.F.R. §§ 502.145 and 502.6. COSCO's verification was not provided to SEA until July 24, 2025, and only after the deficiency was noted by SEA's counsel in response to COSCO's threats to file the instant Motion to Compel. *Compare Exhibit 1* at 1 (July 22, 2025 12:07 p.m. email from C. Nolan to R. Fenneman), *with Exhibit 2* at 1 (July 24, 2025 4:18 p.m. email from M. Medina to C. Nolan *et al*).

Under COSCO's own argument, this failure renders COSCO's interrogatory answers untimely and is grounds to strike COSCO's objections pursuant to 46 C.F.R. § 502.150. It was recently recognized that where a “federal rule or statute requires verification, a failure to comply may or may not render the document fatally defective or totally without effect, *depending on the circumstances.*” *20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd.*, Dkt. No. 23-01, 2024 WL 5080575, at *3 (ALJ Dec. 6, 2024) (Order Denying Respondents' Motion to Strike the Verification and Dismiss the Complaint) (quoting 5A Fed. Prac. & Proc. Civ. § 1339 (4th ed.)) (emphasis added).

SEA has not cross-moved to strike the verification because this, too, would be a waste of judicial resources. Simply, July 18, 2025 was not the deadline for responses from either party, thus no sanction should be imposed on either party. There is more than ample time for the parties to

continue with the discovery process and meet and confer concerning any good faith disputes going forward.

CONCLUSION

COSCO's Motion should be denied as moot in connection with the ordering of responses to COSCO's discovery requests as they were served by SEA today. The requested sanction of waiver of objections in connection with SEA's responses should also be denied as an inappropriate sanction as COSCO did not meet its burden of showing harm and prejudice.

Respectfully Submitted,

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HOLLAND & KNIGHT LLP



By: _____
Christopher R. Nolan
787 7th Avenue
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 955-3000
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

Counsel to Samsung Electronics America, Inc.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC

Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Kaya C. Massey
KMassey@JeffreyFenneman.com
Nicholas L. Webb
NWebb@JeffreyFenneman.com
700 12th Street, NW Suite 700
Washington, DC 20005

NIXON PEABODY, LLP

Gordon L. Lang
Glang@nixonpeabody.com
Brian J. Whittaker
BWhittaker@nixonpeabody.com
Martha A. Medina
mmedina@nixonpeabody.com
799 9th Street NW, Suite 500
Washington, DC 20001-5327

HOHENSTEIN & PARKINSON, LLP

James H. Hohenstein
Jim.hohenstein@hplawny.com
385 South End Avenue, #5K
New York, NY 10280

Executed: August 5, 2025

/s/ Allison Skopec
Allison Skopec